

Buffett & Munger-Style Investment Analysis: Top 10 Ratios

#	Ratio / Metric	What it tells you	What to generally look for
1	ROE	Return generated on shareholders' equity	Consistently high, without excessive leverage
2	ROIC	Return generated on invested capital	High and sustainable
3	Operating Margin	Profitability of the core business	Stable/improving
4	Net Profit Margin	How much profit remains from revenue	Strong and consistent
5	Free Cash Flow Margin	Cash generated from each ■ of sales	High and consistent
6	Debt-to-Equity	Financial leverage	Reasonable/low, depending on industry
7	Interest Coverage	Ability to pay interest	Comfortably high
8	P/E	Price relative to earnings	Reasonable relative to quality/growth
9	P/FCF	Price relative to actual cash generation	Reasonable
10	EV/EBIT	Enterprise value relative to operating earnings	Useful for comparing businesses with different debt levels